

In hindsight, market losses may seem to have an obvious or intuitive explanation. This bias can feed into our overconfidence and cause us to believe we will be able to anticipate such market changes the next time around.

- Survivorship Bias: *Underestimating the risk by ignoring the failed companies.*

We may underestimate the degree of market risk if we look only at companies still operating today. This misses out on the lessons of many failed companies no longer on the investment radar. It is like thinking a marathon would be easy to run because you watched a bunch of people cross the finish line. You're ignoring all the people who gave up before reaching the end. This can also feed overconfidence.

- Herd Mentality: *Judging your own success or failure based on that of others.*

Sometimes the herd mentality can be rationalized. You don't want to miss out on being rich when everyone else is rich, and perhaps being poor is not so bad when everyone else is also poor. But for a long-term investor, following the herd rarely makes sense.

- Affinity Traps: *Taking advice from someone just because you know the person.*

We often take the advice of someone simply based on the fact that we like him or her or share a social circle, regardless of that person's qualifications to speak on investment and personal finance topics.

Further behavioral issues must be considered when it comes to retirement income. Research by Alessandro Previtero at UCLA (see the Schlomo Benartzi article for further reading) shows that recent stock market performance has a big impact on the decision between lump-sum or lifetime income options from pensions. Those making the pension decision after stock market increases over the past six to twelve months are much more likely to select a lump sum instead of guaranteed income, allowing recent